

E-COMMERCE CUSTOMER CHURN — INSIGHTS MEMO

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Headline finding

A small, high-value customer segment has quietly gone cold — and it's worth more than 5x the revenue of the entire Hibernating segment combined.

Metric	Value
At-Risk High Value customers	297 (7.1% of customer base)
Revenue at stake	€1,737,543
Avg. days since last purchase (this segment)	202 days
Avg. historical orders (this segment)	20.3 orders
Overall churn rate (all customers)	50.8%
Ireland churn rate	57.6% (2nd-highest of any sizeable market)

Why this segment, not a blanket campaign

These 297 customers placed an average of 20+ orders historically — they are not price-sensitive browsers, they are proven repeat buyers who have simply stopped engaging. A site-wide discount would spend margin on customers who were never going to leave (Champions) while doing little to specifically re-engage this group. A targeted win-back sequence is both cheaper and more likely to convert.

Recommendation

1. Launch a personalized win-back email/SMS sequence for the 297 At-Risk High Value customers within 2 weeks, referencing their past purchase categories.
2. Offer a modest, targeted incentive (not a blanket discount) — e.g. free shipping on next order — to lower the re-engagement barrier without eroding margin on customers who'd have returned anyway.
3. Separately, investigate Ireland's elevated churn rate (57.6%) as a market-specific issue — could be delivery cost, competitor activity, or a market-specific product gap.

Methodology note (read before presenting this model)

The churn classifier (Decision Tree) scored a 0.975 ROC AUC on held-out data — unusually strong. This dataset is simulated, and the customer archetypes used to generate it create cleaner behavioral separation than real customers typically show. On real transaction data, I would expect a ROC AUC closer to 0.75–0.85. This is flagged here deliberately, not hidden.